Cabinet

Title: Housing Revenue Account Budget (including Rents & Other Charges for Council Dwellings)

Paper No. 26-7

Date: 26 January 2026

Cabinet Member for: Housing

Details of Executive Director: Fenella Merry, Executive Director of Finance

Executive Summary

1.1. The Housing Revenue Account (HRA) is a ringfenced account which is separate from the Council's General Fund. It contains the income and expenditure – both capital and revenue – relating only to the management and maintenance of Wandsworth's housing stock. The HRA business plan fulfils a number of important functions. It informs strategic housing management decisions and is a critical tool to secure and demonstrate the continued financial viability of the Council's management of its housing stock. It is also the basis for the four-year budget framework that sets parameters within which the Cabinet may commit HRA resources under the Council's Constitution. Full Council resets the framework annually, and the position is monitored throughout the year.

1.2. Despite the national position, the Council's reputation for constant, sound financial management, the continued current strong overall reserves position (particularly when compared to other councils) and low current level of borrowing within the HRA continue to reflect a strong base position. The HRA is in a much healthier financial position than most other stock holding authorities, allowing flexibility and a continuation of the ambitious regeneration plans and development schemes alongside continuing necessary investment in the existing stock.

1.3. This report reviews various matters relating to the HRA, including Council housing rents and charges, the housing capital programme and the overall HRA budget framework for the period 2025/26 to 2028/29.

1.4. The report first recommends additions to the existing Housing Revenue Account capital programme (as set out in summary in Appendix A) totalling £241.907m as detailed in Appendix B culminating in an overall capital programme amounting to £758.227m over the framework period as shown in Appendix C before turning to proposals for revenue expenditure and income.

1.5. As far as proposals for income are concerned, the Council has a duty to review Council housing rents. Taking account of all relevant factors the Cabinet Member for Housing recommends that Council housing rents are increased by a maximum of 4.8% with effect from the first Monday in April 2026. The Cabinet Member for Housing also proposes general increases in non-residential charges of 3.8% as set out in Appendix D, again to take effect from the first Monday in April 2026 and an overall reduction in heating and hot water charges.

1.6. Appendix E shows the revised budget framework that reflects the proposals in this report and Appendix F graphically reflects the revised Housing Revenue Account business plan forecast projections over both the next 10 and 30 years.

1.7. The corporate Transformation Programme is expected to lead to new ways of working across the Council through innovation, challenge and harnessing digital and technological advancements. This transformation towards a more forward looking, innovative council will unlock new opportunities for growth for Wandsworth, ensure residents who need support get assistance earlier and are able to engage with services quickly and effectively. This will ensure the Council continues to deliver for residents whilst identifying efficiencies that will support the ongoing financial sustainability of the HRA, which will create additional capacity for further investment in the future. This programme will advance the Council's vision of becoming a fairer, compassionate, and more sustainable borough.

1.8. To summarise, on the forecast parameters used, the HRA business plan demonstrates that the Council continues to be in a position to finance future plans. The Transformation Programme, the creation of the Resident Services Directorate as well as further demand management actions are expected to deliver efficiencies which have been assumed within the business plan and help to deliver an ongoing viable position.

2. Comments of the Cabinet Member for Housing

2.1. Wandsworth, like the rest of London, continues to face a housing crisis. There is an acute shortage of social housing, with London boroughs spending over £5m a day on homelessness in 2024/25. Wandsworth has the second-highest rate of statutory homelessness in London, with annual spending on homelessness support rising to £60m (net of Government grant) in 2024/25 and rising. We have over 10,000 households on our housing waiting lists including more than 4,500 households, including families with children, living in temporary accommodation. Investing to build new homes for council rent is vital in tackling the housing crisis and getting Wandsworth families off waiting lists and into secure and comfortable tenancies.

2.2. The Homes for Wandsworth programme is on track to deliver well over 1,000 new council rent homes across the borough, including homes for older residents looking to downsize, bigger family homes for those currently in overcrowded accommodation, wheelchair accessible homes, and homes for those with additional needs. This includes the additional units secured on the Battersea Power Station site as agreed by Cabinet in December 2025. During this financial year residents have moved into four new developments at Randall Close, Patmore Street and Putney Vale alongside 55 homes at Braund Mansions on the Winstanley Estate, adding another 232 new homes for council rent.

2.3. Alongside this, we also have an aging stock and new regulatory burdens which our capital programme must address to ensure our existing homes are safe and maintained to a decent standard. This comes at significant cost and although the rate of inflation has reduced from the high levels seen over the recent years the legacy of this continues to pose significant financial challenges for local authority budgets and across the social housing sector.

2.4. It will be recalled that for 2023/24 the usual CPI + 1% formula for rent increases (an implied 11.1% increase) was replaced with a 7% cap imposed by the then government. This meant a real terms funding cut to Wandsworth's HRA of 4.1%, equivalent to £4m per annum, or £47m over the following 10 years. This compounded the financial strain caused previously when 1% rent reductions were enforced for a period of 4 years. The cumulative impact of this is that our rent roll, the income we generate to pay for essential services and investment, is currently £35m per annum less than it would otherwise have been.

2.5. For 2024/25 and 2025/26 the applicable rent increase was set in line with the usual formula which allowed a maximum increase demonstrating this Council's commitment to continued sound financial management, recognising the balance between the need to generate income to invest and maintaining low rents for Council tenants.

2.6. In order to continue to ensure the long-term financial viability of the HRA, a rent increase at an average of 4.8%, the maximum permissible under the Rent Standard, is therefore now considered to be necessary. This will mean we can continue to maintain our existing stock, improve and expand a high quality and responsive service for our tenants and support the investment in the delivery of much needed new affordable housing for our borough.

2.7. This Council is acutely aware of the ongoing impact the cost of living crisis is having on our tenants and residents and will continue to provide support (financial or otherwise) to those in most financial need where we can. It is worth noting that for those tenants who receive Housing Benefit or Universal Credit (and not subject to the Total Welfare Benefit Cap), these increases should have no direct impact on their household budgets. For those not in receipt of benefit, or subject to the Total Welfare Benefit Cap, a range of support mechanisms are already in place for those who may need it.

2.8. The Government continues to consider how to further standardise social rent levels across the country through "rent convergence" and an announcement is due shortly (although not expected to be in time for the Council to consider its position prior to taking the rent decision for 2026/27). Rent convergence would generate some additional resources for the Council and could give extra financial security and allow for longer term financial planning at a time when expanded requirements in regard to building safety, decent homes, and the green agenda are expected at significant cost.

2.9. This report sets out the long-term financial strategy to deal with these challenges.

3. Recommendations

3.1. The Cabinet Member for Housing recommends the Cabinet to recommend to the Council as follows:

a. that the Housing Revenue Account capital programme additions as set out in Appendix B to the report be approved;

b. that the full capital programme over the Housing Revenue Account budget framework period as set out in Appendix C to the report be adopted as the Housing Revenue Account approved capital programme;

c. that the existing procurement governance arrangements in relation to the Housing Revenue Account capital programme continue to be followed;

d. to approve that rent charges for all existing tenants in Council owned properties be increased by a maximum of 4.8% from the first Monday in April 2026, noting that some tenants may be subject to lower increases, freezes or reductions for reasons outlined in the report;

e. to approve that rent charges for all existing tenants in Council owned temporary accommodation hostel stock at Nightingale Square be increased by a maximum of 4.8% from the first Monday in April 2026;

f. to approve that for other properties (including those previously sold under Right to Part Buy, Equity Share and Social Homebuy options) dwelling rents be increased by a maximum of 4.8% from the first Monday in April 2026;

g. that tenants' service charges will continue to be set by the Executive Director of Finance on a broad cost recovery basis, albeit with a general individual cap applied of 4.8% except in exceptional cases;

h. that the non-residential charges be increased by an average of 3.8% as set out in Appendix D to the report be approved with effect from the first Monday in April 2026;

i. that a reduction of 20% to the fuel element and an average increase of 9% to the repairs and maintenance element of heating and hot water charges be approved with effect from the first Monday in April 2026;

j. to approve that the future setting of heating and hot water charges is delegated to the Executive Director of Finance in consultation with the Executive Director of Resident Services;

k. that the Executive Director of Resident Services be authorised to serve notices upon tenants of Housing Revenue Account dwellings, advising of the charges to be applied from the first Monday in April 2026;

l. that the estimates shown in Appendix E to the report for the Housing Revenue Account for the financial years 2025/26 through to 2028/29 be adopted as the Housing Revenue Account budget framework; and,

m. that the Executive Director of Finance be authorised to prepare the statutory Housing Revenue Account statement for 2026/27 showing the estimates made on the basis of the foregoing proposals.

4. Details

INTRODUCTION

4.1. Through the HRA the council manages c.33,100 properties comprising of c.17,500 tenanted properties and c.15,600 leaseholders.

4.2. The HRA is a ringfenced account, meaning it is legally separate from the Council's General Fund and cannot be used to subsidise other services. This ringfenced approach ensures that rent generated from council housing is used exclusively for housing-related expenditure, such as maintenance and improvements, and not for other General Fund services.

4.3. This latest annual update reflects the position since the Council last adopted the framework. It incorporates the current and latest future estimates for expenditure, income and reserves.

4.4. Under Part VI of the Local Government and Housing Act 1989, each local authority is required to keep a HRA in accordance with proper practices and detailed directions by the Secretary of State. The Act also requires that: -

(a) during January or February each year, the Council must formulate proposals for expenditure and income for its housing for the following year, which will ensure, on the best assumptions that can be made at that time, that the HRA for that year does not show a debit balance;

(b) these proposals must be implemented and monitored to ensure that the HRA will not show a debit balance; and,

(c) a statement must be prepared, showing these proposals and the estimated HRA income and expenditure. This statement must be made available for public inspection.

4.5. This report has been prepared to enable the Council to meet the statutory requirement outlined in (a) above for 2026/27, but more importantly in the context of the HRA business planning process, that the Council has prepared longer-term plans for the management of its housing stock that are viable and affordable.

4.6. The requirement for monitoring, described in (b) above is delegated to the Executive Director of Resident Services.

4.7. The requirement to make available the statement referred to in (c) above is met by including the HRA budget framework within the Council's budget publication, which is then made available for reference and inspection.

CURRENT CHALLENGES IN THE SOCIAL HOUSING SECTOR

4.8. The general financial outlook for social landlords continues to come under increasing pressure. Most notably from new burdens as a result of fire and building safety regulations including removal and prevention of damp and mould but also from the lasting impact of high inflation levels on day to day revenue repairs in recent years and continued higher interest rates. These are national issues that are putting significant pressure on housing accounts.

4.9. Additionally, the Council's response to the C3 grading by Regulator of Social Housing is having a short term financial impact on the level of expenditure on remedial works identified as more properties are inspected as part of the stock condition survey acceleration.

4.10. As a very limited level of new burdens grant funding has been made available to the social housing landlords these additional costs are having to be identified from within the HRA's own resources and existing business plan capacity.

4.11. This comes after years of national underfunding and underinvestment within the sector largely as a consequence of the principles of self-financing being undermined due to subsequent interference with annual rent decisions since 2012 (four years of 1% rent reductions from 2016 and the below inflation capping of the April 2023 rent increase).

4.12. These national policy decisions mean the HRA rent roll is currently £35m per annum lower and the total income to the HRA over that same period is almost £200m less than it would otherwise have been had the rent increases been continued at inflation plus 1%.

CAPITAL EXPENDITURE

4.13. The HRA capital expenditure estimates have been based on the current cash flows for the existing capital programme adjusted for slippage as approved in the HRA Business Plan Update in November 2025 (Paper No. 25-372) and any budget virements and budget variations approved since as summarised in Appendix A to this report. Additions totalling £241.907m are now proposed for approval as set out in detail in Appendix B for consideration.

Repairs & Improvements

4.14. The HRA business plan includes funding for assumed levels of capital spend across the housing stock under the Council's management over the next 30 years based on a statistical survey of the stock condition. The previous stock condition survey, which remains the basis of the current estimates within the HRA business plan, identified that on average £25m per annum (at then 2012 prices, equivalent to approximately £37m at current prices) would need to be invested in the stock to maintain Council owned housing stock to the basic decency standard. In recent years a further £3m per annum has been made available for expanded non-decency works such as Environmental & Estate Improvements.

4.15. The most recent update of the stock condition survey, undertaken in 2022, indicated based on the sample tested, that decency levels had dropped from the target 100% and that the level of investment in to the existing stock needed to be increased in response. More recently this increased investment need has been further recognised through the C3 rating by the Regulator of Social Housing and the move to carrying out a 100% stock condition survey to verify the current condition of the existing stock. This move to carrying out full condition surveys was originally planned to be carried out over the next five years, but this has recently been accelerated to demonstrate to the Regulator that the Council is swiftly making the improvements necessary to improve its stock. As part of the Housing Improvement and Transformation Plan it has now been agreed with the Regulator that all tenanted surveys will be complete by December 2026 and then move to a rolling programme of 20% every year thereafter.

4.16. At present c.20% of the existing stock (c.3,300 properties) has had a full survey carried out and the initial results are still being interpreted. These surveys are identifying a number of previously unreported hazards and issues within the existing stock. To some degree this is driving the current revenue repairs overspend through carrying out immediate remedial works.

4.17. As properties have full surveys carried out a better understanding of current condition will be available and this, in turn, will be used as part of the longer term asset management and investment strategy which will closely match the need for capital investment and the capital works being programmed. Taking a more strategic approach to planned major works will be of benefit to day-to-day repairs revenue costs as planned works can be a more efficient use of resources than reactive repairs.

4.18. It is recognised that the original 2012 stock condition survey was produced when the landscape for social housing landlords was very different. Since then responsibilities relating to zero carbon, building safety and the Decent Homes Standard 2 have increased considerably which, in part, is driving the requirement to increase the base level of financial resources available for capital works. This is compounded with the increased focus by the Regulator and the need to bring existing stock back up to the 100% decency target.

4.19. Given that a full financial assessment of future spend requirements is not yet available, as an interim measure the HRA business plan reflects an extrapolated spend requirement based on the results available to date and using the wider stock age and profile to determine future annual spend requirements to improve and then maintain decency. This extrapolation is more accurate than the previous methodology used in the longer term financial modelling within the HRA business plan, and work will continue to determine a more precise financial impact using reliable and up to date stock data as and when it becomes available.

4.20. In response to the anticipated outcome of this exercise and also to acknowledge the above inflation levels of cost increases seen in the construction sector and across housing repairs in recent years, a further additional amount was added into the HRA business plan as part of the November update with effect from the 2027/28 capital bids round of £5m per annum. This means that the available capital resources within the HRA business plan stand at around £45m per annum which are inflated throughout the life of the plan by an assumed estimate of inflation to maintain resources available in real terms. On average around 20-25% is assumed to be recovered via Leaseholder Service Charges so the net investment in HRA tenanted stock is around £35m per annum or £2k per property per year.

4.21. Essentially the amount available for capital investment into existing stock is the element of rental income used to fund the Major Repairs Allowance (MRA – which is equivalent to a revenue charge for depreciation so covered from tenants' rents), the element of capital works recovered via service charges through Leaseholder Major Works reimbursements and any specific grants or other capital funding that might be available.

4.22. The falling decency ratings and benchmarking of stock investment levels means that increased investment in the existing stock is now required. It was therefore anticipated that the level of capital bids proposed for this bidding round will be significantly higher than those seen in recent years and again above the level typically assumed in the HRA business plan.

4.23. Of the bids submitted, as detailed in Appendix B, £64.514m relate to Repairs & Improvements schemes in Council owned housing stock. For comparison the equivalent level in previous years was £58.924m in January 2025 and £50.628m in January 2024 showing the recent significant uplifts.

4.24. In addition, £6.8m of new urgent capital bids were approved in the recent HRA Business Plan update (Paper No. 25-327) and a further £1.7m was included in the December Cleaner Borough Plan report (Paper No. 25-413).

4.25. Therefore, the total value of new HRA capital bids submitted during the year is £73.014m, this being well above historic levels assumed in the HRA business plan.

4.26. Included in the above capital bids total is all priority works identified by the Executive Director of Resident Services. These include a number of roof renewal and window schemes, a continuation of the kitchens and bathrooms replacement programme (including across the Alton Estate F blocks), specific lift schemes, re-wiring and heating works and continuation of cyclical bids for elements such as adaptations and extensions.

4.27. Also included is £4.8m of 'top-up' bids for existing schemes where costs have increased either through changes in original scope or due to inflation levels since the schemes were originally approved where there has been prolonged consultation and delay.

4.28. In recognition of the Council's climate change ambitions it is estimated that £29.6m of total new investment is for schemes that will have a positive impact on energy efficiency such as heating and building fabric improvements. All of these bids will deliver improvements and assist in meeting the imperatives set by the Council's carbon reduction targets.

Impact on Leaseholders

4.29. From the chargeable bids submitted for approval it is estimated that £16m (c.25%) will be recovered from leaseholders as part of their annual major works service charge bills under the terms of their leases. The exact service charge income levels and timing of the bills will be dependent on total scheme costs, which properties benefit from the works and when schemes are sufficiently progressed/completed to enable billing. If estimates of costs and leaseholder recovery are accurate then the net cost to the HRA is reduced to c.£48m.

4.30. For those leaseholders estimated to be billed (3,952 in total), the average major works charge is £4,066 per property for capital bids included in this bidding round.

4.31. Where resident leaseholders receive a major works bill over £3,000, then these can now be paid in up to 48 instalments, a policy approved in September 2022. Other schemes are available to assist qualifying resident leaseholders with payment of their bills, such as Major Works Loans which includes both the Deferred Repayment scheme and the Right to a Loan scheme.

4.32. Further work is being done to consider if there is any other support the Council could offer to leaseholders with high bills.

Site Developments

4.33. The HRA business plan includes provision to fund the Homes for Wandsworth programme in full. Approval at December's Cabinet of the acquisition of units at Battersea Power Station as part of this programme (Paper No. 25-414) "displaced" a number of schemes (c.250 units in total) from the existing Homes for Wandsworth programme as the funding set aside in the HRA business plan for these schemes was diverted in advance of need, thereby enabling contracts to be exchanged on the Battersea Power Station scheme. Schemes whose funding was displaced include 111 consented new homes on the Ashburton Estate, and pipeline sites on Lennox, Fitzhugh and Gideon Road Estates. As reported, this was done to ensure the Council could unequivocally commit to the scheme within the tight timeframes required.

4.34. The acquisition of more than 200 new units at Battersea Power Station is now being included as a capital bid for approval to add to the HRA capital programme. Financial provision for this scheme is already allowed for within the HRA business plan, but the expected timing of delivery (by 2028/29) means this scheme now also needs to be added into the approved capital programme.

4.35. The updated HRA business plan now allows for these displaced schemes to be added back into the Homes for Wandsworth programme at an additional net cost to the HRA of c: £80m bringing the number of units proposed under the Homes for Wandsworth scheme to c.1,250 units.

Regeneration

4.36. A clearer delivery path for both the Winstanley York Road and Alton schemes is now emerging. Revised cost plans have been developed for both schemes and were incorporated into the HRA business plan in November 2025.

4.37. Whilst full provision has been made within the HRA business plan the proposed capital bids are limited at this time as masterplans are being updated subject to ongoing consultation and all necessary consents. In total £25.2m is included for the HRA elements of the Roehampton Community Hub as part of the Alton scheme. All other costs in the short term are expected to be met from existing approvals. Future bids will be brought forward at the appropriate time.

Purchase of Properties

4.38. The Council has recently been notified of a provisional allocation of £31.78m to deliver another 93 homes for Temporary Accommodation and 18 for families on the Afghan Resettlement Programme under the Local Authority Housing Fund Round 4. In support of this a further capital addition is included as part of the capital bids.

Capital Expenditure Summary

4.39. The resulting capital programme over the HRA budget framework period is shown in summary below with the full detail of all schemes contained in Appendix C. The total planned capital expenditure over the framework budget period 2025/26 – 2028/29 totals £758.227m.

Programme Area	2025/26	2026/27	2027/28	2028/29	Total
	£'000s	£'000s	£'000s	£'000s	£'000s
Repairs & Improvements	36,905	88,823	105,454	59,630	**290,812**
New Investment	74,431	144,275	130,271	110,191	**459,186**
Other Capital	3,229	2,618	2,400	-	**8,247**
TOTAL	**114,565**	**235,716**	**238,125**	**169,821**	**758,227**

4.40. When considered in conjunction with revised cashflows for existing approved schemes and plans for future development, the capital bids being proposed in this report remain affordable within the HRA business plan. Resources have continued to be identified for new build development and regeneration without impacting on the resources available for repairs and improvements to existing stock which have, as set out above, actually been significantly increased.

4.41. With regards to the procurement of works and services in relation to the HRA capital bids and more generally across the HRA capital programme, details of the proposed procurement approach will continue to be considered by the officer-led Procurement Board on a scheme by scheme basis, so no further Committee or Cabinet approvals will be necessary unless the Procurement Board agrees otherwise. Final contract awards will be made under the Council's SO83(a) procedure unless positive budget variations are necessary which will then require Cabinet approval in the normal way if not containable within existing approved resources.

HRA CAPITAL INCOME

4.42. The November HRA Business Plan Update identified that £200m of new borrowing for capital repairs and improvements was likely to be needed over the next 10 years based on current estimates. This increases to £212m based on the proposals included here. Ideally, any borrowing undertaken for the existing stock should be able to be reduced to zero over the asset life. The assumption is therefore that any borrowing for capital maintenance should be limited and that borrowing taken out for this purpose should always be repaid matched to component life.

4.43. For New Investment schemes the current assumption is that the net cost of those schemes will be funded by borrowing for which provision has been made within the HRA business plan. As these schemes generate new supply, which in turn generates revenue income, it is reasonable to assume that the balance is funded by additional borrowing with the revenue cost of that new borrowing supported by the additional revenue income. The value of these assets is also reflected in the Council's balance sheet.

4.44. On existing policies, the financing of the HRA capital programme comes from several sources as follows: -

(a) Current government regulations allow any housing capital receipts resulting from land and property sales (other than statutory Right to Buy sales) to be retained by the Council. Current projections are that usable receipts of £1.5m will be generated in 2025/26.

As disposals are assumed to be kept to a minimum in future the HRA business plan generally assumes an ongoing level of capital receipts from the disposal of minor sites of around £1.5m per year which are anticipated to mostly arise from minor disposals of land parcels and lease extensions which are treated as capital income where the value is in excess of £10,000;

(b) Capital receipts from Right to Buy sales are covered by a voluntary agreement between the Council and the Ministry of Housing, Communities and Local Government (MHCLG) whereby retained receipts from Right to Buy sales over an assumed level must be utilised to fund the replacement and development cost of reprovision of low cost social housing.

Changes to the regulations mean that it is now permissible to cover permitted reprovision costs in full, but the application of such receipt should still demonstrate value of money compared to other grant and capital funding sources.

Due to the recent reduction in the Right to Buy discount levels accelerating the number of applications from tenants trying to benefit from the previous (more generous) rates, Right to Buy sales are expected to continue throughout the remainder of 2025/26, and through to 2026/27 and potentially in to 2027/28 as those applicants look to complete on the acquisition of their home. The carried balance of unapplied retained Right to Buy 1-4-1 receipts stands at £13.119m and it is currently forecast that c.£42m will be retained over this and the next two years.

The HRA business plan assumes £1.626m of capital receipts (known as Right to Buy 1-4-1 replacement receipts) are applied in 2025/26 and £0.546m in 2026/27 to support the delivery of non-grant supported development schemes under the Homes for Wandsworth programme. Additionally Right to Buy 1-4-1 replacement receipts are provisionally committed to the support the viability of the Battersea Power Station scheme.

Right to Buy 1-4-1 replacement receipts will generally continue to support the Homes for Wandsworth development programme, or further expansion of, but can now once again be used to fund direct acquisitions and could be used alongside other external grants given more flexibility on future use;

(c) As approved in the September 2015 HRA Business Plan update (Paper No. 15-315) the Council has the option of funding the social housing elements of its regeneration schemes and development plans from Section 106 (S106) Affordable Housing commuted sums, grant funding or additional Right to Buy 1-4-1 replacement receipts insofar as they are available. S106 Affordable Housing income can be used alongside external grant funding to reduce future borrowing requirements.

The Council currently holds £29.223m of S106 Affordable Housing income of which £10.631m remains uncommitted with potentially c.£16m more in the pipeline dependant on development triggers being met.

Given some of the geographical restrictions on the use of S106 income the current HRA business plan assumes a significant proportion of these uncommitted receipts will be used to part finance the Battersea Power Station scheme. Application of S106 receipts will be flexibly applied and interchangeable with Right to Buy 1-4-1 replacement receipts where permissible.

A general review of available capital resources is underway where officers will consider the optimum future use of held and forecast resources to maximise affordable housing delivery. This will inform future funding priorities and prioritisation in the HRA capital financing assumptions;

(d) Available grant funding. The HRA business plan includes significant amounts of future grant from the GLA in support of the various affordable housing delivery programmes and from the MHCLG for the acquisition programme part funded from the Local Authority Housing Fund. The total grant funding becoming available is estimated at £33.320m in 2025/26 and £91.576m in 2026/27.

The Council will continue to seek additional affordable housing grant for those homes being delivered under the Homes for Wandsworth development programme. Any further grant allocation that reduces the net cost of the Homes for Wandsworth development programme to the HRA will reduce the need for future borrowing.

Additionally £2.309m of specific grant is anticipated in 2025/26. This comes from a variety of schemes including from the Government's Waking Watch Replacement Fund, the Heat Network Efficiency Scheme Fund and the application of NCIL towards playground improvement schemes. Additionally, an allocation of £0.767m has been awarded which is to support Residential Personal Emergency Evacuation Plan and modifications in support of the matching capital bid. Again, opportunities to leverage in external grant funding will be explored where available;

(e) Where capital expenditure is incurred in relation to properties previously sold on long leases the costs are potentially chargeable to the leaseholder as part of the annual service charge billing process. Given the increase in the level of resources committed to the HRA capital programme in recent years the amount anticipated to be chargeable to leaseholders is also expected to increase.

The estimated level of leaseholder major works contributions is £5.950m in 2025/26 based on the September 2025 billing and £7.381m in 2026/27;

(f) Internal and External Borrowing. Over the next four years it is assumed that around £429m of new borrowing will be required with this assumed to be long-term debt. Current estimates show that additional borrowing of £44.860m will be required in 2025/26 and a further £108.186m in 2026/27;

(g) Finally, contributions to or from the Major Repairs Reserve consisting of a revenue charge for depreciation, as defined by accounting regulations, which continues to be put into the HRA's major repairs capital reserve and is used to fund capital works. This charge, which considers actual inflation levels, stock movements and depreciation on non-dwellings such as garages, is estimated to contribute £26.5m in 2025/26 and £27.4m in 2026/27 towards funding future capital works.

As the annual revenue charge is assumed to fund 'future' required investment in the existing stock the balance on the Major Repairs Reserve at the end of each year is considered to be set in line with the contribution made in that year as a minimum. This increases the projected Major Repairs Reserve balance over time.

In recent years the Major Repairs Reserve balance has been utilised to support site development and regeneration schemes however, given the increase in resources applied to standard repairs and improvements the balance of this needs to be addressed which is partially the driver for increased borrowing levels.

4.45. In summary, and based on the overall expenditure proposals and profiles, the HRA capital programme will require financing as follows: -

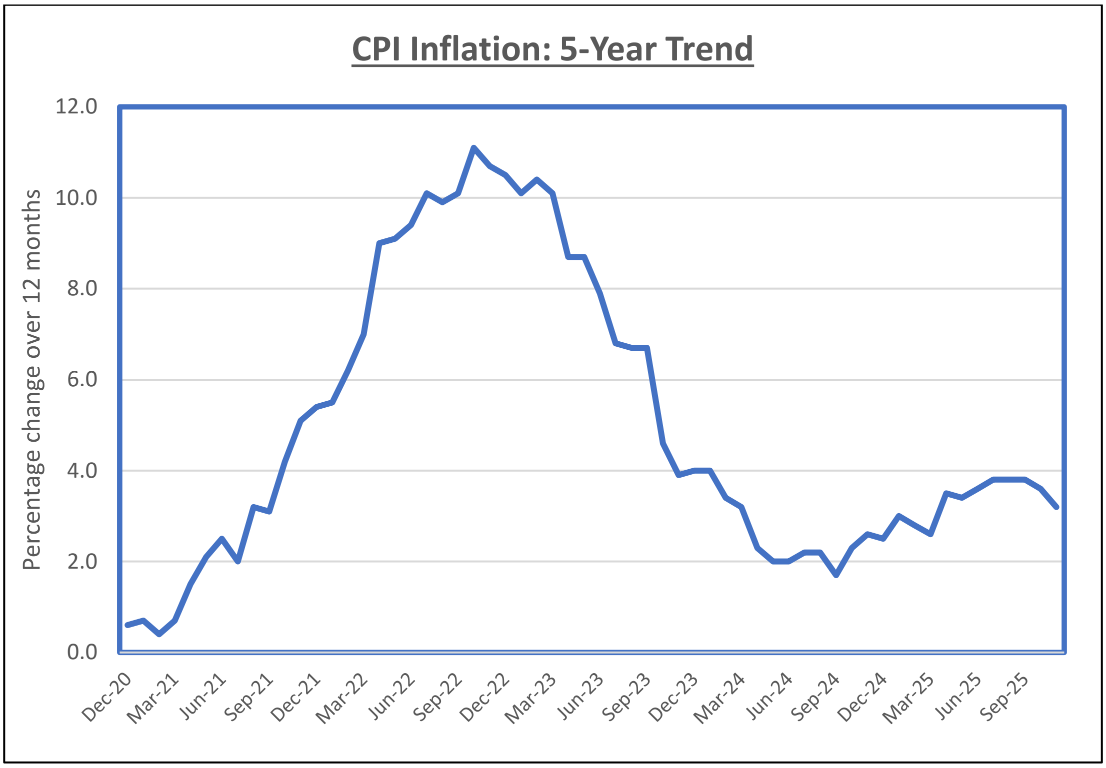
Programme Area	2025/26	2026/27	2027/28	2028/29	Total
	£'000s	£'000s	£'000s	£'000s	£'000s
Total Expenditure	114,565	235,716	238,125	169,821	**758,227**
Financed By:					
(a) Capital Receipts	1,500	1,500	1,500	1,500	**6,000**
(b) Right to Buy 1-4-1 Receipts	1,626	546	50	11	**2,233**
(c) S106 Receipts	-	-	-	-	**-**
(d) Capital Grant	35,629	91,576	17,736	16,823	**161,764**
(e) Leaseholder Major Works	5,950	7,381	17,765	21,091	**52,187**
(f) Borrowing	44,860	108,186	173,651	102,336	**429,033**
(g) Major Repairs Reserve Use	25,000	26,527	27,423	28,060	**107,010**
Total Financing	114,565	235,716	238,125	169,821	**758,227**

4.46. The overall position regarding the actual financing of capital expenditure will continue to be kept under review by the Executive Director of Finance to ensure the most effective and prudent use of available resources which may include maximising the use of internal borrowing where possible and appropriate as an alternative to more expensive external debt finance.

HRA REVENUE EXPENDITURE

Supervision, Management & Maintenance Expenditure

4.47. The legacy impact of previously high inflation levels continues to pressure the financial position of the HRA despite the fact that inflation rates reduced from those previous high levels. The September 2025 (Consumer Price Index (CPI) was 3.8% which is key as the September CPI is specifically linked to rent calculations). The annual rate of change over the last 5 years is shown in the chart below: -



4.48. There are still specific pressures in construction and building materials that are continuing to have a significant impact on a number of the key contracts used for building repairs and maintenance contracts within the HRA. In some instances (such as across the Area Repairs Contracts), above contractually entitled inflationary increases were previously agreed to ease concerns of contractors being able to provide viable ongoing services and the impact of that is again being recognised in current year forecasts compounded with the fact that overall volumes of repairs also seem to be increasing.

4.49. Repairs budgets in the HRA have again been put under increasing pressure during this financial year and a significant overspend is again being forecast predominantly in relation to repairing and refurbishing vacant properties (voids) before they are re-let but also across general repairs, notably within building and fire safety as a consequence of remedial works identified as part of the stock condition survey acceleration.

4.50. The most recent forecast is currently predicting an £9m overspend for the year. Whilst this overspend will be met from revenue reserves at year end the HRA business plan currently makes no allowance for cost to continue at this elevated level in perpetuity – to do so would require a reprioritisation of existing commitments.

4.51. General Supervision & Management budgets are also showing an overspend of circa £1.7m with the majority of this linked to increases in insurance costs, the settlement of disrepair cases and other legal costs and the costs incurred in relation to the recent Fox House fire.

4.52. Additionally, revenue budget growth provision of £1.5m has been built into the base budget and business plan from 2026/27 onwards in line with the proposals to establish a Housing Compliance Team to be made as part of the Housing Improvement and Transformation Plan included in the future Improving Wandsworth's Housing Services report.

4.53. For the 2026/27 budget setting exercise inflation assumptions have been built in to the budgets of 3% for salaries and general overriding averages of 2.5% for repairs and running costs respectively where not linked to specific contractual terms.

4.54. Looking forward to future years the updated HRA business plan allows for a general assumption for inflation beyond 2026/27 at an average of 2.8% and then reverts to a standard estimate of underlying CPI at 2.5% on all costs from 2027/28 onwards.

4.55. Going forward, notwithstanding the proposals for rents contained later in this report, expenditure at these higher inflated levels is causing pressure on the HRA business plan in the longer term. With reserves and future income already committed to support borrowing for development expectations within the financial assumptions are that efficiencies will be delivered to ensure the long-run viability of the HRA business plan.

Capital Financing Costs

4.56. Borrowing of £884m is forecast in the HRA to support long-term investment over the next 10 years. This is expected to be needed in tranches matching the balance of capital spend not financed by other financing sources.

4.57. The required borrowing can be split into two distinct areas. Firstly, £212m is assumed to be required to fund a boosted level of capital repairs and improvements to the Council's existing housing stock. As identified previously, significant inflationary increases within the sector over the past few years have meant the amounts being invested are now higher than the routine capital financing resources available from the depreciation charge to fund works to the existing stock, hence the current planned use of borrowing.

4.58. Secondly, borrowing is required to finance the considerable investment in estate regeneration, delivering new social housing and improving overall supply, for which the business plan currently assumes a total of £672m of new borrowing over the next 10 years. Financing estate regeneration and new housing delivery in this way creates a lifelong asset for the Council, generating rental income to repay initial borrowing, reducing General Fund spending on temporary accommodation and supports sustainable community growth. This kind of investment is of net financial benefit to both the Council and to the wider community.

4.59. Due to the strong financial position of the Council and high levels of cash balances available for investment, all borrowing undertaken to support HRA investment in 2024/25 was internally borrowed from the General Fund and this is anticipated to continue for 2025/26. This removes the need to borrow externally from the Public Works Loan Board (PWLB) whilst interest rates are higher than the longer term projections assumed within the business plan. Officers will continue to consider the debt repayment profile of any new and existing debt in order to best meet the ongoing strategic aims of the Council and to ensure the ongoing financial viability of the HRA business plan.

4.60. Based on the interest rates borrowed at for self-financing debt, together with the ongoing servicing of the existing debt in the HRA and the financing of new borrowing for other capital schemes where needed, borrowing is estimated to cost the HRA £5.658m in interest and require principal loan repayments totalling £10.502m during 2025/26 and £8.207m in interest and a similar amount for repayments in 2026/27.

Other Expenses

4.61. Other expenses include provision for bad debts and other miscellaneous costs incurred in the HRA. The budget for 2025/26 has been set at £6.272m in line with current estimates increasing to £7.170m in 2026/27.

4.62. Predominantly this increase is in response to the increasing levels of rent arrears (including heating and hot water and tenants' service charge arrears) within the HRA above that normally arising as a consequence of the collection rate target for which a prudent provision for bad debts will need to be determined at year end.

4.63. Arrears arise for a number of reasons (such as changes of financial circumstances both in terms of household income and expenditure levels). The Council's Rent Collection Service seeks to engage with residents and arrange affordable payment agreements. Extended payment periods are based on the affordability of the payment arrangement and individual income and expenditure reviews.

Efficiencies & Savings

4.64. To ensure a financially robust HRA business plan the modelling assumes that the current uplift in revenue resource expenditure is temporary and will be reduced back to a 'business as usual' over the medium to longer term.

4.65. The corporate Transformation Programme is expected to lead to new ways of working across the Council through innovation, challenge and harnessing digital and technological advancements. This transformation towards a more forward looking, innovative council will unlock new opportunities for growth for Wandsworth, ensure residents who need support get assistance earlier and are able to engage with services quickly and effectively. This will ensure the Council continues to deliver for residents whilst identifying efficiencies and create additional capacity for further investment in the future. This programme will advance the Council's vision of becoming a fairer, compassionate, and more sustainable borough.

4.66. The Transformation Programme, the creation of the Resident Services Directorate as well as further demand management actions are expected to deliver efficiencies which have been assumed within the business plan and help to deliver an ongoing viable position. A total of £4.5m has been assumed from 2029/30 onwards. If delivered earlier, then this will create an additional financial benefit to the HRA.

4.67. These headline pressures and investments demonstrate the importance of maximising income in the short term, so sufficient resources remain available in the longer term to support both maintaining services and current stock plus the borrowing required for the development and regeneration schemes.

HRA REVENUE INCOME

Tenants' Rents and Service Charges

4.68. The Council's annual review of rent charges is reflected in its current rent policy and governed by the statutory Rent Standard, along with the statutory requirement to ensure that the HRA will not fall into deficit in the forthcoming year, and a need to consider the longer term impact on the viability of the overarching HRA business plan, noting the assumptions made in the most recent update reported to Cabinet in November 2025.

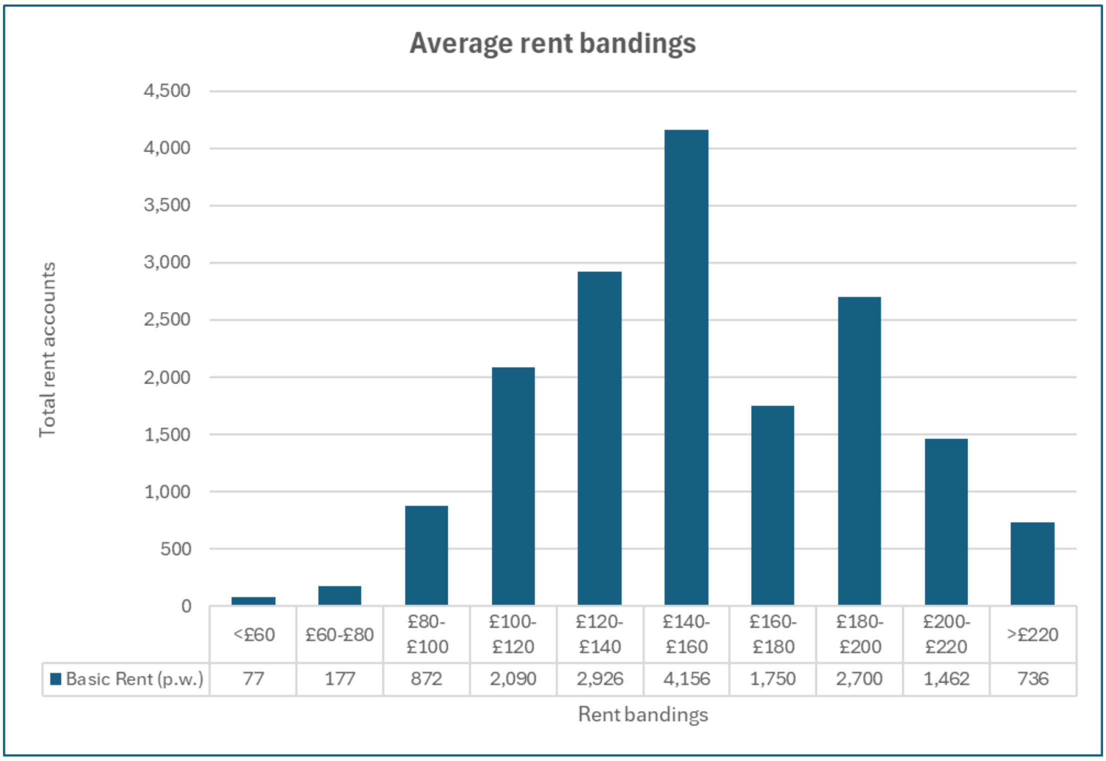
4.69. The Council's owned housing stock is currently classified into two main groups – "Social Rent" properties (the large majority – around 17,000 properties) and "Affordable Rent" properties (c.600 properties), generally acquired or built under relatively recent agreements which allowed for additional flexibility charging higher rents on initial letting.

4.70. The Council's rents are all considered as "Social Rents" which are significantly lower than private sector rents and tenants benefit from guarantees around increases, service levels and security of tenure.

4.71. Since 2020 local authorities have been subject to Government policy (known as the Rent Standard) which sets statutory maximum increases on rents for existing tenants. The current Rent Standard was originally set to run from April 2020 to March 2026, but this has now been extended by the 10-year rent settlement from 2026/27 as announced in July 2025.

4.72. The Council's current rent policy is aligned with the Rent Standard and the HRA business plan assumes the maximum increase each year in order to continue to fund essential services whilst keeping track of inflation. Any rent increases below the maximum allowed represent a permanent loss of income in relation to existing tenancies as there is currently no ability to make up the shortfall with compensating increases in future years.

4.73. The current average rent paid by Council tenants is £154.48 per week. In addition, average service charges of £10.81 per week are raised, giving a total average rent payable of £165.29 per week. There are significant variations around this average, ranging at the extremes from £56.79 to £366.51 per week, partially as a consequence of past rent policies. The current distribution of actual tenant rents (excluding service charges) is shown in the chart below: -



4.74. Forecast rent income (excluding service charges) for 2025/26 is £137.5m. Of this c.£32m is a direct transfer from the Council's Housing Benefit system to individual rent accounts, with the balance payable by tenants either with the assistance of Universal Credit or from their own resources.

4.75. Dwelling rents currently make up 70% of the HRA's budgeted revenue income base and with reserves and interest rates expected to fall over coming years this proportion is only set to grow and increase in importance as contribution to maintaining the viability of the business plan and underpinning existing and future plans for investment in Council stock.

4.76. The Rent Standard limits increases that can be applied each year to September CPI + 1% (4.8% for 2026/27) – which applies to tenancies in both Social Rent and Affordable Rent properties. It is for councils to decide how much to increase rents by, up to this maximum.

4.77. In addition the Rent Standard limits increases for tenancies in Social Rent properties to September CPI (3.8%) where existing rents exceed a nationally defined formula rent level (linked to relative property values, rents and earnings from 1999). It is estimated that this would impact approximately 600 Council tenancies in 2026/27.

4.78. Additionally, from 2026/27, the Rent Standard has been tightened to require that no tenant in a Social Rent property can be charged more than the Government's national Formula Rent Cap.

4.79. The Formula Rent Cap is linked to the number of assessed bedrooms in a property and the current levels are as follows: -

Bed Size	2025/26 (per week)	2026/27 (per week)
0	£194.06	£204.34
1	£194.06	£204.34
2	£205.46	£216.34
3	£216.87	£228.36
4	£228.27	£240.36
5	£239.69	£252.39
6+	£251.10	£264.40

4.80. Formula Rent Caps increase by CPI + 1.5% per annum. The caps make no distinction between flats and houses and only apply to core rent so are before any tenant service charges (if relevant) are added.

4.81. This change will affect 64 current tenancies, requiring rent reductions of up to £102 per week (average £29 per week) at a cost to the Council of c.£0.1m in 2026/27. Previously these tenancies would have been subject to a rent freeze, so the long run impact is limited.

4.82. There is more flexibility in relation to tenants in Affordable Rent properties, which are properties where total rents charged can be up to 80% of market rents on initial relet and are therefore generally higher, and indeed often in excess of the caps on rents in Social Rent properties, and where the additional limitations referenced in above do not apply. However under the Council's existing rent policy any tenancies currently charged higher than the rent cap level will still receive a freeze in rents.

Rent Convergence

4.83. In 2025 the Government consulted on proposals to introduce rent convergence, as a discretionary opportunity for councils to raise additional rental income of potentially up to £2 a week from tenants with low rents compared to the 'target' Formula Rent and invest in existing and new stock. Initial modelling has suggested that this would be worth up to c.£1m to the

HRA in 2026/27 and up to £53m cumulatively by 2035/36. However, whilst the recent Budget reconfirmed the Government's commitment to this policy it is not known when this might be implemented from. A response to the previous consultation and a decision on how to implement Social Rent convergence is set to be announced in January 2026.

4.84. It seems unlikely that this would be implemented from April 2026 given that any additional rent increase would need formal approval and would then need to have sufficient time to implement and provide the necessary statutory notices to tenants. However, it is understood that some councils will look to implement if implementation is allowed from April 2026. This would therefore need to be considered once known, although any decisions to implement in any year would be discretionary, and it is not proposed that Wandsworth seek to do this (if allowed) in 2026/27.

Proposals for rents

4.85. The recommendations for the April 2026 rent increase, proposed in consultation with the Cabinet Member for Housing, are outlined in the following paragraphs.

4.86. In developing the following proposals consideration has been given to the impact of both the continued cost pressures in the HRA and also the impact that the current cost of living crisis is continuing to have on household finances whilst striking an appropriate balance between affordability for tenants and the responsibility and requirement for maintaining existing stock to a decent standard and the Council's ambitious plans to increase the level of stock (through build and purchase) whilst maintaining a financially viable HRA business plan.

4.87. As highlighted in the recent HRA Business Plan Update (Paper No. 25-372) and reiterated above both short and longer-term pressures on HRA budgets and revenue reserves continue to be significant, particularly on voids and tenanted repairs. It has therefore been necessary to make additional budgetary provision available to meet these costs both to meet short-term pressures and to meet a clear longer term need to uplift base budgets over and above core inflation.

4.88. In addition to the above, the update continued to highlight future uncertainty around costs of building safety and climate change commitments along with a need to maintain base levels of resources to continue to meet the revenue costs underpinning increasing levels of capital expenditure in existing stock including as a result of the in progress full stock condition survey, as well as the Council's programmes of development and regeneration.

4.89. In view of this, and to protect the longer term viability of the HRA business plan, it is therefore recommended that the Council adopts the maximum permitted rent increase for tenants in both Social and Affordable Rent properties of 4.8%.

4.90. Current total rental income to the HRA is estimated at £137.5m based on current stock numbers and occupancy rates. Applying a headline rent increase of 4.8% in line with the main recommendation of this report will generate additional income to the HRA of c.£6.2m, overall a net percentage increase of 4.5%.

4.91. A further c.£0.16m is projected to be lost from net stock reduction (mainly as a result of an anticipated spike in Right to Buy sales as a result of the changes in the Government's 2024 budget) but this will rapidly reverse in future years as this tapers off, and new stock comes on stream through the Council's new build and acquisition programmes.

4.92. Average rents (excluding service charges) would increase to £161.49 per week from £154.48 per week, broken down by size of property as follows: -

Bed Size	Number of tenancies	Average Current Rent (per week)	Average Rent 2026/27 (per week)	Average increase %	Maximum Rent 2026/27 (per week)	Minimum Rent 2026/27 (per week)
0	828	£93.96	£98.43	4.76%	£241.70	£48.96
1	4,460	£123.08	£128.80	4.64%	£248.23	£48.82
2	6,351	£150.69	£157.73	4.67%	£270.35	£70.24
3	4,177	£189.41	£198.00	4.54%	£280.18	£114.37
4	1,014	£211.69	£220.62	4.22%	£282.63	£161.13
5	90	£235.76	£238.74	1.26%	£264.40	£203.39
6	23	£273.96	£259.02	-5.45%	£304.07	£231.39
7	3	£252.68	£260.62	3.14%	£263.15	£256.72
Total	**16,946**	**£154.48**	**£161.49**	**4.54%**	**£304.07**	**£48.82**

4.93. The largest percentage rent increases would fall on lower rent, smaller properties due to the way the Rent Standard calculations and Formula Rent Caps work. Higher value properties are in general more likely to be in excess of the national rent cap. The long-term effect of the national rent policy is to compress rents around a narrower range both by restricting increases on higher value properties and resetting the rents on properties on relet to the Formula Rent. In Wandsworth this generally results in smaller properties incurring an increase in rent and larger properties experiencing smaller increases due to the historic local policies and the tables above clearly demonstrate the impact of this.

4.94. In line with the proposals for both Social and Affordable Rent properties the 4.8% rent increase would also be applied to the Council's temporary accommodation hostel stock at Nightingale Square from the first Monday in

April 2026. Residents at Nightingale Square are also required to pay for other services they receive.

Other property dwelling rents

4.95. In addition to Council tenancies, there is a need to review the rents for a small number of other properties where rent is charged under shared ownership arrangements. These are properties previously sold under the Right to Part Buy, Equity Share and Social Homebuy options. There are no specific rules within the national policy guidance regarding the rents charged in relation to these properties, but usual practice has been for the Council to apply an increase (or decrease) consistent with that adopted for the wider stock subject to limits incorporated within the individual lease agreements. It is therefore recommended that this is repeated in 2026/27 and that rents in these properties are increased by a maximum of 4.8% from the first Monday in April 2026.

Tenants' Service Charges

4.96. In addition to the basic rent charge, many tenants (mainly those housed in flats) are charged a tenant service charge for various communal services relating to the blocks or estates on which their property is located. Unlike basic rents, tenants' service charges are not subject to statutory limitation although general guidance is that they should be broadly set on the basis of cost recovery with safeguards to prevent excessive non-inflationary increases to maintain affordability.

4.97. The Council's existing policy reflects this with estimates for costs calculated for blocks and estates based on uplifted historic averages and projections for the following year, but with general increases capped overall within an overall 'envelope' in line with the wider rent increase of CPI + 1%. An exception is made for block electricity charges reflecting the wider volatility in these costs which generally align poorly with wider inflation and in cases of other exceptional cost changes (e.g. as a result of changes in contract scope).

4.98. As these service charges are calculated based on cost recovery, current Council policy means they will not require annual Committee decisions to set the levels for the forthcoming year. The general principle will be that actual costs from the previous completed financial year (which may include an element of variable repair costs) will be used as the base for calculating next year's charges adjusted for estimated inflation, much in the same way as with leaseholder service charges.

4.99. The majority of calculations for tenant service charges for 2026/27 have been calculated subject to final checking and review and a summary breakdown of charges for relevant properties is shown below: -

Tenant Service Charge	No. of Properties Charged	Average Charge (per week)	Highest Charge (per week)
Estate Cleaning	13,528	£2.76	£15.24
Garden Maintenance	14,519	£0.74	£3.86
Block Cleaning	13,075	£4.35	£25.56
Communal Electricity	13,500	£2.11	£18.87
Paladins	12,769	£0.40	£2.06
Aerials	11,875	£0.14	£1.54
Entrycall	12,090	£0.50	£8.34
Total (excluding Wardens)	**15,119**	**£9.67**	**£40.40**
Sheltered Wardens	1,055	£34.71	£34.71
Total	**15,119**	**£12.09**	**£65.04**

4.100. All service charges are eligible for Housing Benefit and/or incorporation into Universal Credit calculations and therefore, as with rents, the majority of lower income tenants will be protected against rises.

4.101. Where there is a new or extended service being introduced, authorities are expected to consult appropriately with tenants before introducing new or extended services and associated charges. There are currently no proposals to introduce any new service charges for 2026/27.

4.102. The estimate for tenants' service charge income falls under the Other Income heading within the HRA framework. The estimated level of income is £9.6m in 2025/26 and £9.7m in 2026/27.

Support to tenants

4.103. The proposed increase in rents and tenants' service charges clearly have the potential to place additional cost of living pressures on Council tenants, notwithstanding that overall rents remain significantly below those experienced by tenants in the private sector.

4.104. Local Housing Allowance (LHA) rates are nationally set and determine the maximum level of Housing Benefit paid in the private rented sector. In Wandsworth these currently range from £276.16 per week for a one bedroom property to £667.40 per week for 4 bedrooms or more. As demonstrated Council rents remain significantly lower than these current private sector Housing Benefit rates.

4.105. The London Mayor also provides a review of market rents in the capital based on a sample of rents advertised over the previous 12 months. The following table provides the most recent summary for the borough of Wandsworth which again demonstrates the low rents paid by the Council's tenants compared to the wider private rental market as shown below: -

	Wandsworth Council Tenants		Wandsworth Market Rents		Wandsworth Council average Tenant Rents as a % of Median Market Rents
Bed Size	**Average (inc Service charge)**	**Highest (inc Service Charge)**	**Lower**	**Median**	
0	£111	£242	**£300**	**£312**	36%
1	£138	£306	**£369**	**£404**	34%
2	£161	£295	**£460**	**£519**	31%
3	£197	£284	**£577**	**£669**	29%
4+	£222	£367	**£800**	**£952**	23%

4.106. The Council's Social Rents are on average generally less than 36% of median private rents.

4.107. Rent increases are taken account of when calculating eligibility for Housing Benefit and Universal Credit. Although the exact numbers of tenants on Universal Credit, and (particularly) the extent to which the amount of benefit they receive fully covers their housing costs (if subject to the overall welfare benefit cap) is not known, it is estimated that at least 70% receive support, which for the vast majority would be expected to be reassessed to partially or fully match the level of the increase as shown below: -

Benefit Status	Tenancies	%	Weekly average paid by tenant (Rent + Service Charge)
Full Housing Benefit	1,590	9%	£0.00
Part Housing Benefit	2,871	17%	£28.86
Universal Credit check completed*	Up to 8,700	51%	£168.56
Total on Benefits	**(Up to) 13,161**	**77%**	
No HB/UC	3,785	23%	£161.45
Total	**16,946**	**100%**	

**the Council records when the DWP requires a verification of a UC claimant's current housing costs; however this is only indicative as it doesn't account for subsequent changes in tenant circumstances so is strictly a maximum figure. Of the 8,700 checks on the system for current tenants 7,719 occurred in this financial year and are considered relatively up to date (using this would give a total figure of 72% on housing assistance)*

4.108. The Council is required to assess affordability when making initial placement or letting decisions, and this is complemented by substantial pro-active work by both the Income Maximisation Team and the Financial Inclusion Team to identify where tenants are struggling and to advise where financial assistance may be available or more generally on managing finances effectively. This assistance is available regardless of whether the tenant is in receipt of benefits or not. In certain circumstances tenants may also be eligible for temporary support through Discretionary Housing Payments.

4.109. The Council's Financial Inclusion Team provides benefits, budgeting and debt advice to Council tenants who are having difficulty paying their rent and other residential charges, noting in particular that heating and hot water charges are not eligible for housing benefit or universal credit. The Council's web pages provide advice and tools for tenants, as well as a contact form and contact number for assistance in checking the tenant is in receipt of all eligible benefits and/or to set up an effective budget to deal with any debts. Where residents get into arrears this will include implementing payment plans. This means that households with unpaid bills or outstanding debts will have the opportunity to work with the Council and construct an affordable repayment plan to clear the arrears that they owe and to avoid the threat of being evicted. Support is also available through dedicated Tenancy Support Officers and through the Cost-of-Living Hub, all of which will be signposted and can be accessed as necessary.

Non-Dwelling Rents

4.110. In addition to dwelling rents the HRA also receives income from its commercial portfolio and from charges for estate garages and storesheds which are covered under the non-residential charges proposals later in the report. The income to the HRA is estimated at £5.386m in 2025/26 and £5.367m in 2026/27.

Leaseholder Service Charge Income

4.111. As set out within the respective leases, leaseholders are required to contribute their relative share of repairs and maintenance as part of the annual service charge billing process. The estimated level of leaseholder revenue service charge contributions is £20.014m in 2025/26 which is based on the bills raised to date in the year as part of the September billing run and an estimate of those still to be billed, and estimated at £22.765m in 2026/27 in line with current inflation assumptions on recharged costs.

Other Income

4.112. Other Income covers a range of other sources to the HRA, including tenants' service charge income (referred to previously), heating and hot water charge income and other miscellaneous income streams. The income to the HRA is estimated at £17.921m in 2025/26 and £16.962m in 2026/27.

Investment Income

4.113. The HRA's balances are invested on a pooled arrangement as part of the Council's overall treasury investment strategy to obtain the best possible returns. The current rate of interest is estimated at 4.57% for 2025/26 and

4.07% in 2026/27 and then are expected to reduce in line with Bank of England estimates.

4.114. The estimated level of investment income is £8.255m in 2025/26 and £8.403m in 2026/27. This increase reflects the estimate of held balances in relation to Right to Buy 1-4-1 receipts with the interest accruing to the HRA.

HRA NON-RESIDENTIAL & CLUBROOM CHARGES

4.115. In addition to residential charges the Council issues charges on estate based property for garages and storesheds, and a smaller number of sites for parking and secure cycle sheds. This is in addition to charges for pre-assignment lease packs, and other ad-hoc charges for key replacements.

4.116. Charges for HRA garages and storesheds, and other charges outside of core tenants' rents and service charges, are reviewed on an annual basis with an aim to at least retain their value in real terms and therefore cover any increased costs. The bulk of the income is from garages and storesheds, mostly rented to residents on the estates. Charges are banded to reflect differences in location and size/quality. Demand remains high and it is therefore proposed to implement a full inflationary increase of 3.8% in line with the wider Council approach to charging in 2026/27.

4.117. There are mixed arrangements for HRA community clubrooms located on the Council's housing estates with management often having been historically devolved to resident volunteers from the estates themselves. However, as referenced in Paper No. 23-06 (Housing OSC - January 2023), six of these clubrooms are currently managed directly by the Council.

4.118. Following consultation on new procedures at the Residents Conference in October 2025 a review of the charges and other rules for hire is being finalised with conclusions and recommendations to be brought forward for approval in the first half of the 2026. The aim of the review will be to ensure greater consistency of approach, including for locally managed clubrooms, whilst maintaining the ability to maximise income in line with the attractiveness of the venue, particularly for commercial hires. Therefore no specific changes to the current charges are proposed at this time.

4.119. After accounting for volume changes since the last review, the proposed increases in non-residential charges are estimated to generate an additional £122,000 of income in 2026/27 and a full year. The impact of this has been incorporated within the HRA budget framework presented as part of this report for approval.

4.120. The proposed non-residential charges for approval, as set out in Appendix D, are recommended to take effect from the first Monday in April 2026. Current charges for clubrooms are included for information.

COMMUNAL HEATING & HOT WATER CHARGES

4.121. The Council operates a number of communal heating systems that serve c.3,440 residents across its housing estates. This covers c.2,560 tenants and c.880 leaseholders. Charges are set to residents linked to the specific costs of individual boiler houses with an overarching aim to recover the Council's costs. Tenants and leaseholders are both required to pay a fuel charge with leaseholders also required to cover the actual cost of repairs and maintenance to the communal systems.

4.122. To address the substantial increase in fuel costs experienced in 2023/24, the Council approved an uplift that did not fully pass on the price increases to residents. Instead, charges were strategically set to incorporate a manageable deficit that was to be recovered over several years, and an uplift of 10% was then agreed for 2024/25. To reflect the substantial reduction in prices in 2024/25 it was then agreed to pass on a further reduction of 20% in 2025/26. This year, the wholesale price reductions have continued.

4.123. The anticipated change in the cost of repairs and maintenance has been weighted to reflect historical average costs, although the individual figures for boiler houses will vary depending on any known significant works that are due over the next year and where previous years' high costs due to major breakdowns have been recovered and charges now returned to a "beck and call" maintenance and servicing level. Responsive repairs, by their very nature, are difficult to predict and charge increases/decreases for maintenance will therefore vary between sites. Additionally, administration costs include a wide range of expenses, such as salaries, site inspections, safety certification, legal and regulatory compliance. Charges for repairs and maintenance and for administration costs only apply to leaseholders with the tenants' share being met from HRA budgets as it is assumed the existing HRA rent charge includes a contribution to these costs.

4.124. As current forecasts and projections show that the previous managed deficit is all but recovered it is now proposed to pass on a further reduction to all residents in the fuel charges for 2026/27 of 20% with effect from the first Monday in April 2026.

4.125. Therefore the average charges for fuel costs is being reduced from £17.69 per week to £14.15 per week, representing a 20% reduction, as summarised below: -

Bedsize	No. of Properties Charged	2025/26 Average Fuel Charge (per week)	2026/27 Average Fuel Charge (per week)	% Change
0	290	£12.04	£9.69	-20%
1	1,260	£15.29	£12.31	-19%

2	942	£19.85	£15.91	-20%
3	456	£21.24	£17.00	-20%
4	111	£25.33	£19.51	-23%
5	2	£33.08	£26.46	-20%
6	3	£37.81	£30.25	-20%
Total	**3,064**	**£17.69**	**£14.15**	**-20%**

4.126. The average leaseholder charge for repairs and maintenance (including administrative costs), which continues to be based on full cost recovery, is to be increased from £8.06 per week to £8.82 per week. This represents an average 9% increase based on current charges as summarised below: -

Bedsize	No. of Properties Charged	2025/26 Average Repairs Charge (per week)	2026/27 Average Repairs Charge (per week)	% Change
0	7	£4.13	£3.85	-7%
1	126	£6.07	£6.49	+7%
2	285	£7.97	£8.44	+6%
3	159	£9.31	£10.91	+17%
4	31	£11.47	£12.04	+5%
Total	**608**	**£8.06**	**£8.82**	**+9%**

4.127. The tables above represent average charges across the communal heating and hot water account. Individual charges for residents will vary based on the actual costs for the specific boiler house residents are connected to.

4.128. A summary of the current and forecast position on the heating and hot water account incorporating these proposals is shown below: -

	2025/26	**2026/27**
	£'000s	**£'000s**
Expenditure		
Gas and other fuel charges	2,052	1,861
Repairs and maintenance	1,336	1,376
Administration	328	333
Income		
Charges relating to fuel and leaseholder repairs	-3,267	-2,467
Contribution from HRA (repairs/admin)	-1,381	-1,385
Provision for backdated charges	846	-
Brought forward surplus(-)/deficit(+)	**+72**	**-13**
Carry forward surplus(-)/deficit(+)	**-13**	**-296**

4.129. In line with the setting of general tenants' service charges it is now proposed that as charges are back to being set on a cost recovery basis that the future setting of heating and hot water charges is delegated to the Executive Director of Finance in consultation with the Executive Director of Resident Services. Similarly to tenants' service charges tables showing the average charges for the following year will continue to be included within this report for information. Residents will continue to only be charged the costs relating to their specific boiler house.

CONSULTATION

4.130. Within the tenancy conditions the Council has undertaken to consult before seeking to change rent and other charges. Consultation will be undertaken through the Borough Residents' Forum (BRF) meeting on the 19 January 2026. Any feedback from the BRF will be considered at subsequent meetings during the decision making process.

4.131. The Council is required to notify tenants of variations of rent and other charges. The Council will need to serve a notice of variation at least 28 days before any variation takes effect. It is therefore recommended that the Executive Director of Resident Services be authorised to serve notices upon tenants of HRA dwellings, advising that any changes in rents and service charges will be applied from the first Monday in April 2026.

HRA BUDGET FRAMEWORK, CONTROLS & RESERVES

4.132. The HRA business plan and budget framework is approved by the Council each year together with a controlling parameter to limit the annual expenditure and the consequential reduction in the forecast capital and revenue reserve levels that the Cabinet can commit to within each framework period. In January 2017 this controlling parameter was set at a level of £40m (Paper No. 17-9).

4.133. The HRA business plan reported Cabinet in November 2025 (Paper No. 25-372) has been adjusted to take account of the recommendations in this report, including the additions to the capital programme, the recommendations on rents and service charges, the increase in non-residential charges together with any other concurrent budget variations being recommended for approval this cycle.

4.134. Appendix E to this report sets out the HRA budget framework that reflects the proposals in this report covering the period to 31 March 2029, before which time predicted HRA reserves must not be reduced by more than £40m from the presently predicted £197.595m. If at any point within the financial year the level of HRA reserves are predicted to fall below this minimum level the HRA framework would require revision and approval by full Council.

4.135. The HRA business plan graph provides an overview of HRA trends for the coming years, and the latest forecast of reserves is shown at Appendix F. The graphical representation considers the latest estimates of revenue spend and capital expenditure in line with the stock condition survey and assumes that all self-financing existing debt is repaid by the end of 2031/32.

4.136. The reserve position is shown over both a 10-year and 30-year period. The 30-year graph needs to be treated with an element of caution due to the sensitive nature of the longer term assumptions underpinning the HRA business plan and the external factors that can and do influence the position significantly impacting projected surpluses. The total reserves position projected over a shorter term (over 10 years) should therefore be a more accurate representation, and generally more reliable.

4.137. The Council's reputation for constant, sound financial management is reflected in the strong base reserves position. Total reserves start at £153m, initially increase as the remaining self-financing debt is repaid, but then generally reduce as the revenue effect of the new borrowing starts to have an impact to a combined low of approximately £182m by the end of the 10-year period.

4.138. The longer 30-year HRA business plan model shows balances reducing to stand at a projected £107m by the end of the term. However this projection needs to be treated with an element of caution due to the sensitive nature of the longer term assumptions underpinning the HRA business plan and the external factors that can and do influence the position significantly impacting projected surpluses.

4.139. These graphs and underlying modelling therefore confirm that, based on the recommendations and revised assumptions referred to in this report, the Council's HRA business plan continues to remain viable.

4.140. It should however be noted that the HRA business plan has no financial provision for future fire safety measures and carbon reduction initiatives beyond those already approved within existing budgets and expected to be upgraded through cyclical stock condition works and therefore these could emerge to be significant future pressures as would any continuation of repairs spend at current levels.

4.141. The future forecast surpluses involve a number of assumptions on future spend and income levels which if varied can have a significant effect on available resources. There is therefore a risk of over-reliance on future projected surpluses which could throw the HRA business plan out of balance and necessitate additional borrowing, higher rents (if permissible) or reduced service provision in future years.

4.142. The Executive Director of Finance and the Executive Director of Resident Services consider that this HRA business plan and framework similarly updated would demonstrate that the Council remains in a strong position to finance future expenditure plans.

5. **Financial Implications**

5.1. The financial implications are discussed in the body of the report.

6. **Legal Implications**

6.1. There are no specific legal implications arising from this paper, other to note that Council policy and recommendations for increases are controlled and limited by statute, in particular since the introduction of the Rent Standard in 2020, as updated for 2026/27, and that any agreed increases must be notified to the relevant tenant/leaseholder in accordance to statute and contractual conditions.

7. **Equalities Implications**

7.1. The Equality Act 2010 requires that the Council when exercising its functions must have "due regard" to the need to eliminate discrimination, to advance equality of opportunity between persons who share a relevant protected characteristic and persons who do not share it and to foster good relations between persons who share a relevant protected characteristic and persons who do not share it. The measures outlined in this report, including the use of the HRA to expand the Council's social housing stock through the Homes for Wandsworth programme, and to maintain and refurbish its existing housing stock, are expected to have a positive impact on individuals with protected characteristics. The Council has a range of support mechanisms in place to support residents who may be affected by the proposed increase in rents, as outlined with the report.

8. **Supporting the Wandsworth Environment and Sustainability Strategy (WESS)**

8.1. Generally, HRA revenue and capital budgets incorporate and take account of the demands of improving the Council's environmental footprint. The report also references the potential future demands in this area, albeit largely unquantified at this stage, and the need to take these into account as part of the longer-term business planning process.

8.2. With regards to the communal heating and hot water systems, prior to the introduction of the Council's environmental and energy strategy, the Council's focus was on ensuring that a reliable heating and hot water supply was provided to residents. More recently, the aim to reduce carbon emissions combined with the significant increase in fuel prices has meant that the Council is not only looking at greener sources of energy for new systems but also looking to improve the efficiency of the existing ones. As the gas-fired communal systems approach the end of their life, they are replaced with renewable, low-carbon systems where feasible, taking into consideration budget availability and site constraints, which includes the possible installation of air-source heat pumps, ground-source heat pumps or hybrid systems. New systems all include individual meters so that residents are only billed for the energy that they consume, as opposed to the pooled charges applied previously. Unfortunately, it is not feasible to retrofit metering and billing technologies to the existing systems because of the prohibitive costs of doing so but once those systems are renewed, they will receive individual bills.

9. Conclusion

9.1. The HRA business plan continues to be based on a number of assumptions which if varied can have a significant effect on available resources. However, the latest update confirms that the plan continues to demonstrate strong financial viability of the Council's management of its housing stock alongside the current estate regeneration and housing development plans which will create lifelong assets for the Council and support wider sustainable community growth.

9.2. The report proposes £241.907m of new HRA capital bids which, when added to the existing approved programme, creates an overall capital commitment of £758.227m over the framework period, demonstrating the Council's ongoing commitment to maintaining existing stock and continuing to invest in the delivery of new affordable housing through both the estate regeneration schemes and the Homes for Wandsworth development programme.

9.3. Recognising the financial position it is recommended that tenants have their rent increased by a maximum of 4.8% with effect from the first Monday in April 2026, equivalent to an average increase of 4.5%. It is also recommended that non-residential charges are increased generally by an average of 3.8%, and that charges for heating and hot water are also revised with effect from the first Monday in April 2026.

9.4. Future surpluses are still forecast by the end of the HRA business plan however these need to continue to be viewed with caution as they are in no way guaranteed and there are likely to be additional funding pressures in future years not yet included in the HRA business plan projections.

9.5. The graphical representation of balances in Appendix F shows that whilst the HRA is projected to be in surplus in the short to medium term the position remains relatively finely balanced. As a result, any demand for additional expenditure or reduction in assumed income levels will need to continue to be assessed and possibly mitigated elsewhere within the HRA business plan to maintain and ensure ongoing viability.

Accompanying papers

Appendix A – Existing HRA Capital Programme Summary

Appendix B – HRA Capital Additions

Appendix C – Detailed HRA Capital Programme

Appendix D – HRA Non-Residential Charges

Appendix E – HRA Budget Framework

Appendix F – HRA Business Plan Reserves Graphs